

RUBIES Margin Analysis Report

Generated: 2026-03-28 | Period: 2024 vs 2025

Executive Summary

- Revenue grew 27.8% year-over-year (\$702K to \$898K, excluding 2024 IRAP grant)
- Raw gross margin declined 6.6 pts (70.9% to 64.3%), but adjusted gross margin improved 3.6 pts (69.0% to 72.6%) after removing one-time fulfillment move costs and Ditso misclassification
- Adjusted net margin improved from 5.8% (ex-IRAP) to 16.6%, reflecting strong operating leverage
- Fully adjusted net margin (excluding one-time projects in both years) reached 21.1% in 2025 vs 10.3% in 2024
- Caution: "fully adjusted" excludes ~\$100K of real 2025 spend. Ex-One-Time view (16.6% net margin) is the most defensible baseline

Profit & Loss Comparison

	Raw 2024	Raw 2025	Ex-One-Time 2024	Ex-One-Time 2025	Full Adj 2024	Full Adj 2025
Total Income	\$749,646	\$897,515	\$702,151	\$897,515	\$702,151	\$897,515
COGS	(\$217,935)	(\$320,040)	(\$217,935)	(\$246,304)	(\$217,935)	(\$246,304)
Gross Profit	\$531,712	\$577,475	\$484,216	\$651,211	\$484,216	\$651,211
Gross Margin	70.9%	64.3%	69.0%	72.6%	69.0%	72.6%
Operating Expenses	(\$429,124)	(\$501,561)	(\$429,124)	(\$501,561)	(\$397,590)	(\$460,119)
Other Expenses	(\$14,159)	(\$1,451)	(\$14,159)	(\$1,451)	(\$14,159)	(\$1,451)
Net Profit	\$136,156	\$74,464	\$40,933	\$149,200	\$72,467	\$189,642
Net Margin	18.2%	8.3%	5.8%	16.6%	10.3%	21.1%

Margin Summary

Metric	Raw 2024	Raw 2025	Ex-One-Time 2024	Ex-One-Time 2025	Full Adj 2024	Full Adj 2025
Gross Margin	70.9%	64.3%	69.0%	72.6%	69.0%	72.6%
Net Margin	18.2%	8.3%	5.8%	16.6%	10.3%	21.1%
Net Profit	\$136,156	\$74,464	\$40,933	\$149,200	\$72,467	\$189,642

Exclusions Applied

Ex-One-Time View (defensible baseline)

- 2024: Remove \$47,495 IRAP government grant from income (not operating revenue)
- 2025: Remove \$37,283 CAD Inversiones Ditso from COGS (related-party payment, likely misclassified — needs accountant review)
- 2025: Remove \$36,453 CAD UPS fulfillment move duties from COGS (one-time Hamilton-to-US move)

Full Adjusted View (also removes one-time projects)

- 2024: Remove \$26,035 one-time marketing consultants (Shih Liu, Bari Axmith, Inna Gertsberg, Aldeen, Natta Ierkhova)
- 2024: Remove \$5,499 Upwork custom dev project
- 2025: Remove \$11,824 legal fees (estate freeze — one-time)
- 2025: Remove \$9,500 Barrco shipping (fulfillment move related)
- 2025: Remove \$4,343 Andrii Ribert website development
- 2025: Remove \$3,951 Upwork custom dev project

Industry Benchmarks (DTC Apparel)

Range	Gross Margin	Net Margin
Average	50-60% (wholesale-heavy)	0-5% (early/growth stage)
Good	60-70% (standard DTC)	5-10% (established small DTC)
Very Good	70-80% (strong DTC)	10-15% (solid profitability)
Excellent	80%+ (rare/luxury)	15-20%+ (exceptional efficiency)
RUBIES (Ex-One-Time)	72.6% — Very Good	16.6% — Excellent